

Venture Capital and Entrepreneurial Management

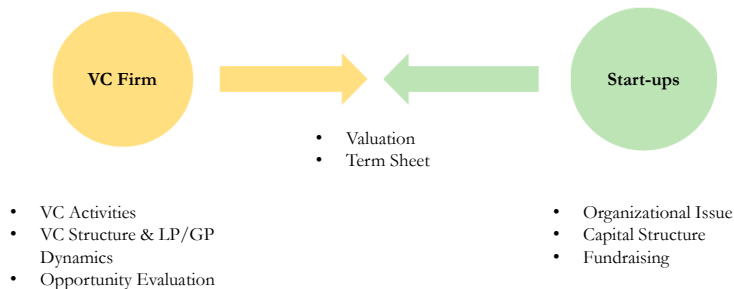
MGMT 264

Review Session

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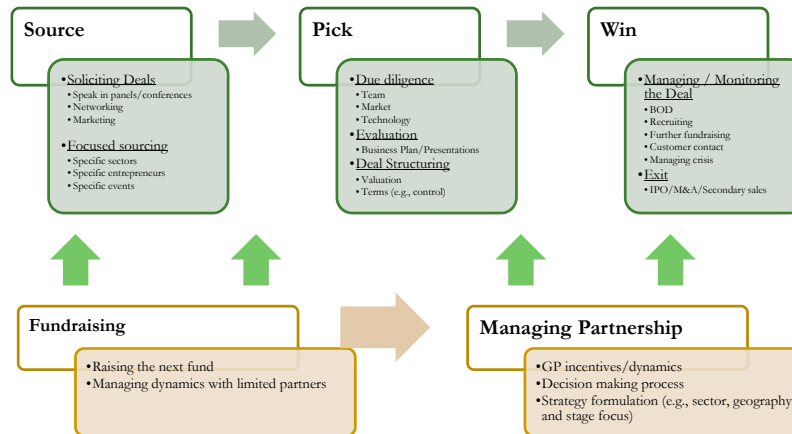
Review

■ What we have learned?



Venture Capital Firms

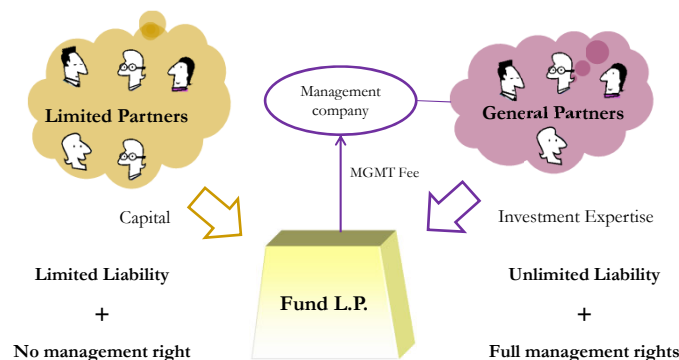
- Activities



The Venture Capital Fund

- Legal Structure

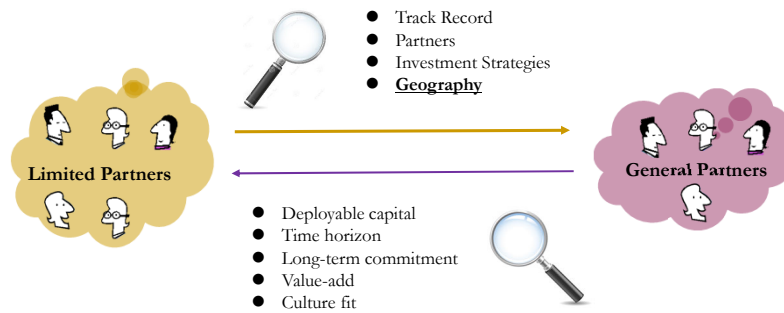
■ Limited Partnership (L.P.)



Venture Capital Funds

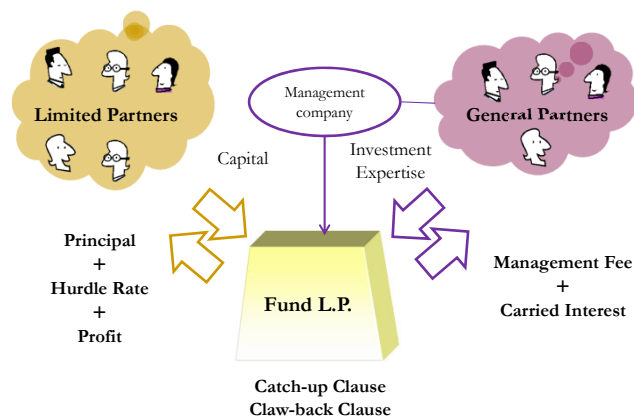
- Fundraising

■ Limited Partners



The Venture Capital Firm

- Economic Distribution



The Venture Capital Firm

Economic Distribution

- ❖ A Numerical Example:
 - Assumptions
 - Committed & paid in capital by the LP = \$10.0M (assume: capital was fully paid in on day 1)
 - All the capital is deployed in one deal
 - Hurdle Rate (i.e., minimum return rate stipulated to LPs) = 8%
 - Carried Interest = 20%
 - Management Fee = 2% (annual)
 - A liquidity event occurs at the end of Year **10**, which returns **\$100.0M** of cash to the Venture Capital fund.

The Venture Capital Firm

Economic Distribution

- The Waterfall Analysis

	Limited Partners	General Partners
Management Fee		\$2.0M [=10 x 2% x \$10.0M]
Principal	\$10.0M	
Interest (Hurdle Rate)	\$11.6M [= \$10.0M x 1.08 ¹⁰ - \$10M]	
Profit Sharing	\$62.7M [= (\$100.0M - \$11.6M - \$10.0M) x 80%]	\$15.7M [= (\$100.0M - \$11.6M - \$10.0M) x 20%]
Total	\$84.3M	\$17.7M
IRR	24%	

- **Question:** Total distribution = \$84.3M + \$17.7M = \$102.0M > \$100.0M. Why?

The Venture Capital Firm

Economic Distribution

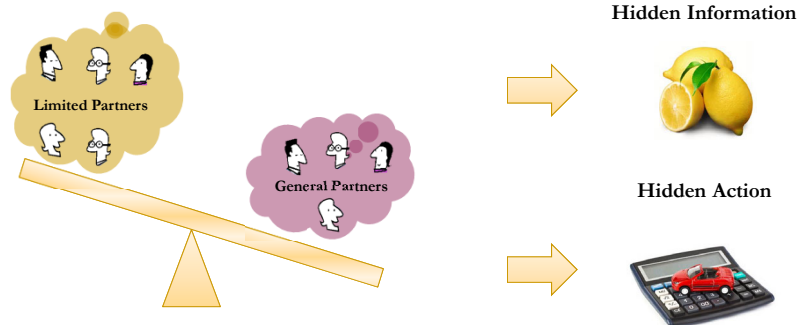
Catch-up Clause for GPs (or Claw-back for LPs), calculated at end of fund life)

	Limited Partners	General Partners
Management Fee		\$2.0M [=10 x 2% x \$10.0M]
Principal	\$10.0M	
Interest (Hurdle)	\$11.6M [= \$10.0M x 1.08 ¹⁰ - \$10M]	
Profit Sharing	\$62.7M [= (\$100.0M - \$11.6M - \$10.0M) x 80%]	\$15.7M [= (\$100.0M - \$11.6M - \$10.0M) x 20%]
Total	\$84.3M	\$17.7M
% of Profit Shared	82.6% >80% [= (\$84.3M - \$10.0M) / (\$100.0M - \$10.0M)]	17.4% <20% [= \$15.7M / (\$100.0M - \$10.0M)]
Catch-up	\$82.0M [= \$84.3M - 2.6% * \$90.0M]	\$20.0M [= \$17.7M + 2.6% * \$90.0M]

The Venture Capital Firm

- Fundamental Issues in LP/GP dynamics

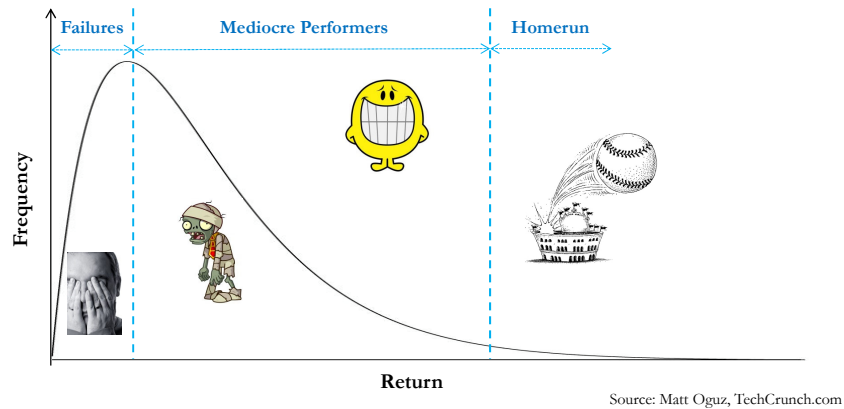
Information Asymmetry between LPs and GPs



Fundamental Issues

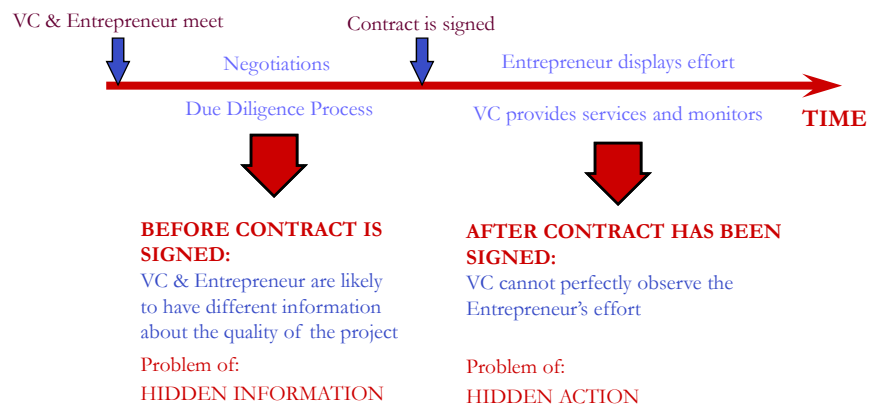
- Return and Risk

■ Return Distribution of VC firms' Investments



Fundamental Issues

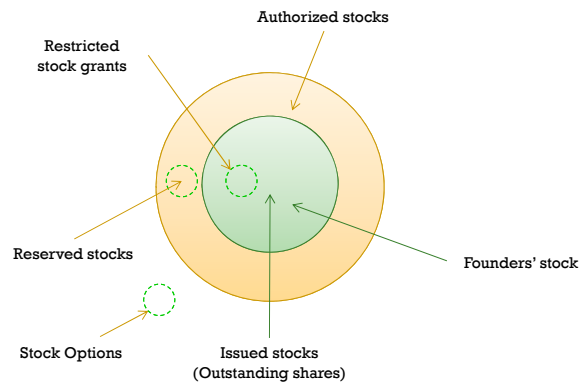
- Information and Agency Problems



Corporations

- Stock

■ A Visual Representation of the Initial Capital Structure of a Start-up



Capital Structure

- Forms of Stock

■ Two-Class Stock Structure

- ❑ Common stock is typically used for compensatory purposes (i.e., employees, consultants, board members, etc.).
- ❑ Preferred stock is set aside for investment.
 - ❑ Authorized and issued in "series": one series for each financing, as the price and terms of the preferred stock changes. E.g., Series A, Series B, etc.



Negotiating the Term Sheet

The Liquidation Preference



- Different Flavors of Liquidation Preferences
 - **Participating preferred:** Where the investor first recovers its defined preference (usually 1x the original principal invested), and after the preference has been paid out in full, also “participates” in any remaining distribution of proceeds side-by-side with the common stockholders on a “common equivalent share” basis
 - i.e., no investment decision is required whether to convert preferred stock into common stock prior to the transaction—the preferred stock gets the best of all worlds (i.e., both its stated liquidation preference AND its participation in the proceeds distributed to the common stock AS IF the preferred stock had converted)

Negotiating the Term Sheet

The Liquidation Preference



- Different flavors of liquidation preferences
 - **Non-participating preferred:** Where the investor is only permitted the return of the defined liquidation preference; any remaining proceeds are distributed to the common stockholders alone
 - The investor must decide whether to remain with the preferred stock, or to convert to common stock—an investment decision whether to convert IS required (i.e., will the shareholder receive more by NOT converting the preferred into common)
 - An investor may push for a lower valuation if it is accepting a non-participating preferred (vs. full participation rights)

Negotiating the Term Sheet

Different Flavors of Liquidation Preferences



- ❑ The **capped participating structure**: Where the investor is permitted first the return of the full defined liquidation preference, and thereafter a shared participation right with any remaining distribution to the common stockholders, but capped at a specific amount
 - e.g., “liquidation preference is paid first in full, then any remaining proceeds distributed pro rata side by side with the common until preferred holder has received total distributions up to 2x the original investment amount, then no further distributions”
 - An investment decision whether to convert out to common stock IS required (i.e., will the shareholder receive more by NOT converting the preferred into common)

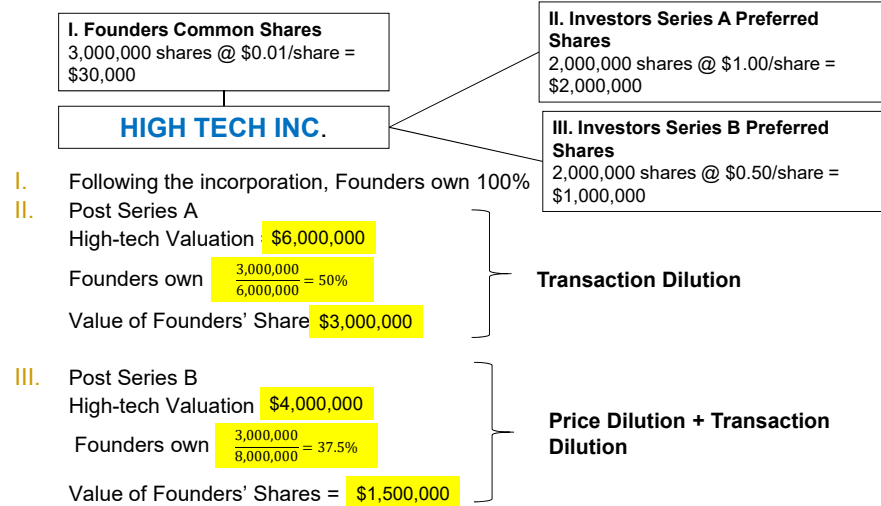
Capital Structure

- Dilution

- **Dilution**
 - ❑ The decreased percent of ownership or value represented by the existing shares due to the issuance of new shares.
- **Sources of Dilution**
 - ❑ Issuance of new shares for fundraising
 - ❑ Employees exercising stock options
 - ❑ Conversion of convertible note, preferred shares or warrants into stock
- **Types of Dilution**
 - ❑ Transaction-based dilution: dilution resulting ONLY from issuances of new stock
 - ❑ Price-based dilution: dilution resulting from issuances of new stocks with decreased share value.



Transaction Vs. Price Dilution

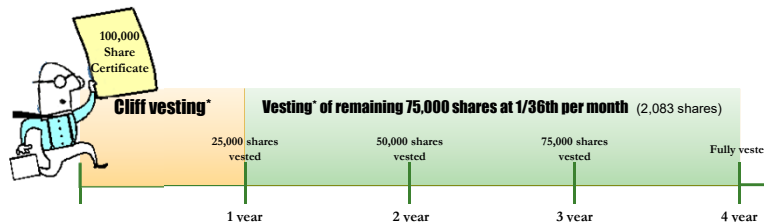


Capital Structure - Vesting



■ Vesting: what is it and how does it work?

- Company right to repurchase the unvested stock at original purchase price upon the termination of employment. The company's repurchase right lapses over a period of time
- Typically a four year time period, with a one year "cliff"
 - Think of a "cliff" as a kind of probationary period
- Typically NOT tied to circumstances of termination, i.e., a "no fault" arrangement



* Unvested shares subject to company right to repurchase at cost

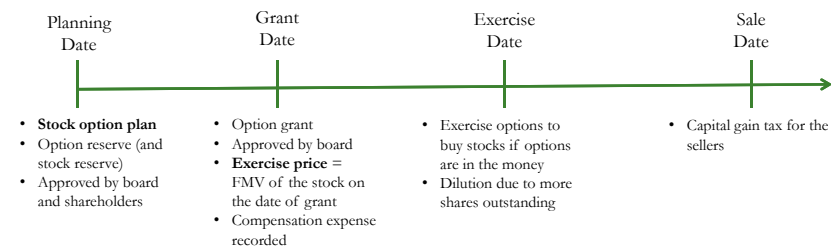
Capital Structure

- Stock Option



- Start-up companies often attract employees with stock options, which is the right (but not the obligation) to buy stocks at a pre-determined price within a certain period or on a specific date.

- How does stock option function?

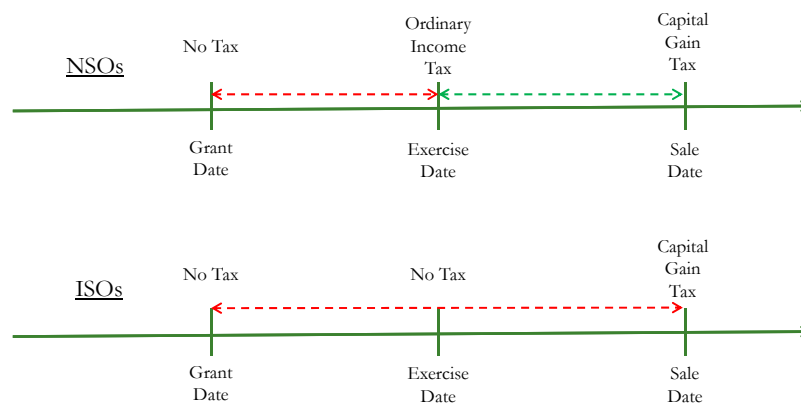


Compensation Elements

- Stock Option



- Tax Consequences of NSOs and ISOs



Capital Structure

- Stock Option



- Stock Option and the Evolving Capital Structure
 - Assuming a company has **10 million authorized shares** among which **3 million are shares outstanding**. The company set aside **2.5 million stock reserve** based on its stock option plan. All the stock options are finally granted and exercised. All the shares purchased through exercising options are sold to a third party in the end.

Date	Plan Date	Grant Date	Exercise Date	Sale Date
Authorized Shares	10 million	10 million	10 million	10 million
Issued Shares	3 million	3 million	5.5 million	5.5 million
Stock Reserve	2.5 million	2.5 million	0	0
Option Grants	0	2.5 million	0	0
Option Reserve	2.5 million	0	0	0

Seed Level Convertible Note

- Convertible Note
 - A loan which allows the lender to exchange the debt for common or preferred shares in a company at a preset conversion ratio. It is one of the bridge loan structures used by early stage investors.
 - When is it used?
 - The company must otherwise be considered worthy of an investment, and
 - The investor has confidence that the loan will be followed by an equity financing.
 - Key terms

Key Debt Features	Key Equity Features
<u>Interest</u> : Minimal (usually around 5% or less)	<u>Conversion Time</u> : Next round of equity financing
<u>Maturity</u> : Up to 24 month (usually 12 months or less)	<u>Conversion Price</u> : Price of next round, often with a discount
<u>Security</u> : None	<u>Discount on Conversion</u> : 10-30%, median is around 20%-25%
<u>Prepayment</u> : Not without consent	<u>Valuation Cap</u> : the maximum valuation at which the note converts into equity.
<u>Change of control</u> : Voluntary conversion to preferred stock, or common stock; or premium return on note (e.g., industry convention is approximately 2x principal)	

Seed-level Convertible Note

Mainstream Industry Practice

Let's play ping pong! Series A investor wants to invest, convertible note holders want the new money.

- Notes for \$500,000 with a 20% discounted conversion share price (no valuation cap here)
- Founders with 2 million shares
- **Series A investor serves:** \$5m for 33% of the company at a \$10m pre-money valuation (i.e., \$5/share for 1 million shares)



Seed-level Convertible Note

Mainstream Industry Practice

Let's play ping pong! Series A investor wants to invest, convertible note holders want the new money.

- **Note holder responds:** Simple conversion--\$5 Series A price at 20% conversion discount = \$4 conversion price
- \$500K debt / \$4 = 125,000 Series A Shares



Seed-level Convertible Note

- Conversion on a Post-Money Basis
 - Following the simple conversion price formula ($\$5 \text{ Series A price} \times 80\% = \$4 \text{ conversion price}$) has the effect of baking the conversion shares into the “post-money” of the company.
 - In other words, you’re calculating the conversion price as if the Series A had already invested their \$5M. This has the effect of giving the note holders their equity on a post-money basis.

	Initial Cap Table		Series A		Post Conversion No Cap, 20% Discount	
	No. of shares	% Own	No. of shares	% Own	No. of shares	% Own
Founders	2 million common	100%	2 million common	66.7%	2 million common	64%
Angels (Convertible Note Holders)	0 (\$500K convertible note)		0 (\$500K convertible note)		125,000 preferred A	4%
Series A investors			1 million preferred A	33.3%	1 million preferred A	32%

- What is the potential business problem with calculating the note into the post-money capital this way?

*Ordinarily, accumulated interest is included with the principal as the total amount to be converted into Preferred. For simplicity in calculation, interest has not been included here.

Seed-level Convertible Note Mainstream Industry Practice

Back to ping pong!

- **Series A counters:** What happened to the 33% stake I negotiated for?!? (expletive deleted) I refuse to take less than 33%! I should get more shares.
- **Note holder defends:** Series A can have its 33% by getting more shares, but then I need more shares since I have been diluted, too!



Seed-level Convertible Note

Conversion on a Pre-Money Basis

- To make everyone happy, we bake the conversion shares into the pre-money valuation.
- Series A gets their 33% by giving them more shares, note holder gets more than 125,000 shares called for by the contract conversion price (so 4.2% stake instead of 4%).
- Founders get the short end of this stick.

	Initial Cap Table		Series A		Post Conversion No cap, 20% Discount	
	No. of shares	% Own	No. of shares	% Own	No. of shares	% Own
Founders	2 million common	100%	2 million common	66.7%	2 million common	62.5%
Angels (Convertible Note Holders)	0 (\$500K convertible note)		0 (\$500K convertible note)		133,333 preferred A	4.2%
Series A investors			1 million preferred A	33.3%	1,066,667 preferred A	33.3%

*Ordinarily, accumulated interest is included with the principal as the total amount to be converted into Preferred. For simplicity in calculation, interest has not been included here.

Seed-level Convertible Note

Discount and Valuation Cap

- 70-80% of seed-level convertible notes today have both a valuation cap and a discount price.
- If the effect of the valuation cap is to yield a lower conversion share price than the discount formula, then the holder gets the better deal. If the discount provides the lower conversion price, then the holder gets that price.
- Valuation cap is intended to protect the note investor against "lightning in a bottle" (i.e., the company raises its first equity financing at an unexpectedly high valuation).
- Where the conversion price is subject to a cap and a discount, predominant industry practice is to convert the note on a pre-money basis.

Seed-level Convertible Note

The Valuation Cap

- **Now a conventional structure.** A majority of seed stage financings today, of less than about \$2 million (give or take), get done with convertible notes.
- **Valuation caps.**
 - A word of caution: Although a note financing is not a “priced” round (i.e., the note as a debt instrument does not establish a company valuation), the cap is sometimes seen as a proxy for valuation and can influence the valuation discussion for the next financing round
 - Low caps favor the investor (which mean they become punitive for founders)
 - In Q2 2021, Median pre-money early stage valuation for first institutional round (Series A) was \$41.5 million; second round (Series B) approx. \$130 million
 - Today, caps in a convertible note for a seed financing are usually set at around \$7-9 million. (Compare this cap vs. the median pre-\$ value of \$41.5m for the Series A round that follows the Seed round and triggers the conversion of the seed money!)

Seed-level Convertible Note

Valuation Cap and Discount: Conversion on a Pre-Money Basis

- Convertible note for \$500K at “lesser of” 20% discount to the share price paid by the Series A investors OR a price per share that is determined by dividing \$4 million pre-money valuation cap by the fully diluted capitalization of the company before Series A closes
- 2 million shares issued to founders
- Series A happens: \$5m invested on a pre-money valuation of \$10m (\$5/share, 33.3% ownership fully diluted after conversion of the note)

	Initial Cap Table		Series A		Post Conversion: Pre-money Valuation Cap \$4 million	
	No. of shares	% Own	No. of shares	% Own	No. of shares	% Own
Founders	2 million common	100%	2 million common	66.7%	2 million common	59.3%
Angels (Convertible Note Holders)	0 (\$500K convertible note)		0 (\$500K convertible note)		250,000 preferred A	7.4%
Series A investors			1 million preferred A	33.3%	1,125,000 preferred A	33.3%

*Ordinarily, accumulated interest is included with the principal as the total amount to be converted into Preferred. For simplicity in calculation, interest has not been included here.

Seed-level Convertible Note

Mainstream Industry Practice

Back to ping pong again!

- **Series A counters:** We've got another problem (expletive deleted). Your 250,000 shares of Series A have a liquidation preference of \$1,111,111 (i.e., 250K shares x \$4.44 Series A price). That's more than the \$500K cancelled note. It's not fair.
- **Note holder defends:** I've got a solution to that. My conversion shares will be issued as a combination of 112,500 Series A Preferred shares ($\$500,000 / 4.44$) and the remainder of 137,500 in Common stock ($250,000 - 112,500 = 137,500$ shares)



Alternative Types of Capital Convertible Note

■ General Observations

□ Investors' Perspective

- An equity deal almost always favors the investors

□ Founders' Perspective

- A convertible note deal is almost always beneficial to the founders. The benefits include but are not limited to:
 - Easy documentation (15 pages vs. 100 pages for equity financing)
 - Faster to put in place (days vs. weeks)
 - No valuation required (nor other equity-type deal terms)
 - Little or no negotiation required (convertible debt terms are mostly standard)
 - No impact on common stock pricing for employees/consultants



Alternative Types of Capital

- Warrants



■ “Warrant Coverage”

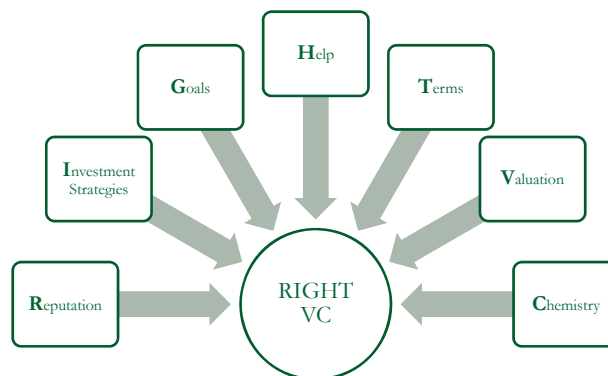
- Definition: Right to purchase a number of shares (a “warrant”) equal to a percentage of the loan amount divided by the current share price
 - Usually used as an investor incentive where a bridge note is put in place to “bridge” from one institutional round to the next one. Rarely used with a bridge note (i.e., convertible note) for a pre-seed or seed financing but used by leasing companies.
- Example: “10% warrant coverage on a \$250,000 loan” for a startup looking to issue Series A Preferred at \$5/share
 - Equal to \$25,000 worth of warrant coverage
 - Warrant to be granted for 5,000 shares of Series A Preferred at \$5/share exercise price
- Terms
 - Warrant term typically for 5-7 years
 - “Net Exercise” provision
 - Expires upon an IPO or acquisition

Fundraising

- An Entrepreneur’s Perspective



■ Which one is the RIGHT VC for you?



Valuation Methodologies

- Venture Capital Method

■ Valuation Manual

- What should be in your initial toolkit?
 - A. Projected terminal value (OR projected net income and P/E ratio of comparable companies)
 - B. Investment made by each investor
 - C. Required rate of return of each investor
 - D. Investment horizon of each investor
 - E. Initial capital structure (initial share outstanding & options)
 - F. Anti-dilution protection of each investor (Optional)
 - G. Pro-rata or dividends conversion (Optional)

- What are you expected to come up with?
 - A. # of new shares issued in each round for each investor
 - B. price per share in each round
 - C. pre-money and post-money valuation of each round

Valuation Methodologies

- Venture Capital Method

■ Valuation Manual

- Step I: Looking backward for Current Required Ownership



$$\text{Final \% Ownership} = \frac{(1 + \text{IRR})^{\text{year}} * \text{Investment}}{\text{P/E} * (\text{Projected Net Income})}$$

$$\text{Retention Ratio} = 1 - \sum \text{Final \% Ownership of Future Investors}$$

$$\left(\text{OR} = \frac{1}{1 + \text{Final \% Ownership of Future Investors}} \right)$$

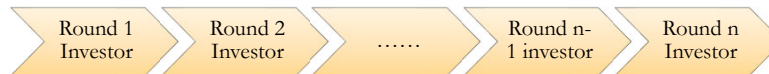
$$\text{Required Current \% Ownership} = \frac{\text{Final \% Ownership}}{\text{Retention Ratio}}$$

Valuation Methodologies

- Venture Capital Method

■ Valuation Manual:

- Step II: Looking forward for Shares, Price and Valuation



$$\text{New Shares} = \frac{\text{Current \% Ownership}}{(1 - \text{Current \% Ownership})} * \text{Old Shares}$$

$$\text{Share Price} = \frac{\text{Investment}}{\text{New shares}}$$

$$\text{Post-money Valuation} = \frac{\text{Investment}}{\text{Current \% Ownership}}$$

$$\text{Pre-money Valuation} = \text{Post-money valuation} - \text{Investment}$$

Valuation Methodologies

- Venture Capital Method

■ Valuation Manual – Example (HBS Q3)

	Investor 1	Investor 2
Terminal Value	100M	100M
IRR	50%	30%
Investment Horizon	5yrs	3yrs
Investment	5M	3M
Initial shares	1M shares outstanding, 15% management share reserve	
Final % Ownership	38%	6.6%
Retention Ratio	1-15%- 6.6% =78.4%	1-15% = 85%
Current % Ownership	38%/78.4%=48.46%	6.6%/85%=7.8%
# of New Shares	48.46%/(1-48.46%) * 1M = 940,241	7.8%/(1-7.8%) * (1M+0.940214M)=163,337
Price/share	5M/940,241=5.32	3M/163,337=18.37
Post-Money Valuation	5M/48.46%=10.32M	3M/7.8%=38.63M
Pre-Money Valuation	10.32M-5M=5.32M	38.63M-3M=35.63M

Valuation Methodologies

- Venture Capital Method

■ Valuation: Dilution and Anti-Dilution

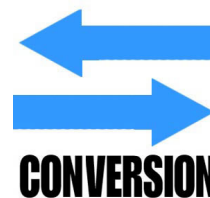
- **Dilution (Transaction-based)**
 - Retention Ratio (HBS Q2,Q3) - **Expected Dilution!**
 - Pro-rata share for early investors (HBS Q3(3)) – **Invest side-by-side with future investors.**
- **Anti-Dilution (Price-based)**
 - Invoke only where the price/share of new stock is **lower** than the purchase price of particular series of class of outstanding stock
 - Share conversion rather than new shares purchase! – **No new investment!**
 - Conversion ratio calculation

Negotiating the Term Sheet

- Background: Converting Preferred to Common

■ Converting Preferred to Common

- The conversion of preferred stock into common stock is often a prerequisite for IPO. The conversion implies that preferred shareholders will give up all the senior rights associated with preferred stocks.
- Preferred shares are convertible at any time at the election of the holder.
 - Distribution and voting before the conversion: participate on a **as-if-converted basis**.
- Conversion price
 - Usually on a 1:1 basis (the conversion ratio = $\frac{\text{Purchase Price}}{\text{Conversion Price}}$)
 - Subject to anti-dilution adjustment
- Automatic conversion
 - The occurrence of a IPO (which is big enough)
 - Majority or super-majority vote by preferred shareholders



Negotiating the Term Sheet

- Liquidation Preference

■ Distribution

- Liquidation preference
 - “Super” liquidation preference (C#5)

Series	Shares	% Own	Invest	LP	Payback	Participate	Final	Final %
Common	3M	40%				$40\% \times 16.5M = 6.6M$	6.6M	16%
Preferred A	2.5M	33%	2.5M	1X	2.5M	$33\% \times 16.5M = 5.445M$	7.945M	20%
Preferred B	2M	27%	7M	3X	21M	$27\% \times 16.5M = 4.455M$	25.455M	64%
Total	8.5M	100%	Firm Value: 40M		23.5M	$\textcircled{3} 16.5M$	40M	100%

Valuation and Term Sheet

■ Calculation caveats

- Expectation of Investors
 - Future dilution might not be expected by the investors so you need to be careful in applying the formula of retention ratio (HBS, Q3c)
- Retention Ratio (HBS, Q3)
 - **Example**
 - Final % ownership of 2nd round investor: $\textcircled{5\%}$
 - Current % ownership of 2nd round investor: 6%
 - Which one is to be used to calculate the retention ratio of 1st round investor?

Valuation and Term Sheet

■ Calculation caveats

- Share basis
 - **Valuation:** all shares including all option grants (outstanding unvested options) and reserves
 - **Participating in the proceeds of a sale:** all shares excluding all option grants (if not exercised) and reserves
 - **Anti-dilution formula** (broad-based): all existing shares and options outstanding implying all shares including option grants and excluding option reserves

Conversion price $\times$ (# of existing shares and options outstanding + # of new shares that the new investor would have received for the amount of new money that is invested @ old price/share) $\div$ # of existing shares and options outstanding + # of new shares that the new investor will actually receive for the amount of new money that is invested @ new price/share

Valuation and Term Sheet

■ Calculation caveats

- Post-Money Valuation
 - **Example**
 - Final % ownership of 1st round investor: 20%
 - Current % ownership of 1st round investor: 30%
 - Investment of 1st round investor: 6M
 - What is the post-money valuation of the firm in round 1? 20M or 30M?
- Investment Horizon
 - At the beginning of year n = At the end of year n-1
 - Change in investment horizon affect IRR of existing investors a lot (HBS Q3(3))
- Non-participating liquidation preference: choice between two scenarios (C#4 Q5)

Quiz Overview

- **Quiz (30% of your final grade):** The in-class, in person quiz may be taken on an open book/open notes basis. **You must bring a calculator to the quiz.**
- 1 hour and 15 Minutes long
- iPad or laptop permitted provided you disabled Cell and wifi communication and use it ONLY to review your notes or reading (preparing spreadsheets or typing notes are PROHIBITED during the quiz)
- Bring a Calculator
- **Sit in your assign seat with the Name Tent displayed**
- 100 points
 - 40 points: 1 Caselette/Essay Question
 - 60 points: 8 Multiple Choice Questions

How to Study

- **Understand Concepts** from the posted lecture notes, class discussions and all the required readings;
- Review all the caselettes along with
 - Valuation Problem Set
 - Negotiation Exercise

Multiple Choice Questions Overview

- *For each of the following questions, circle ALL answers that are true. 7.5 points are awarded for the correct answer in the questions below.*
- *Partial credit will be given (3.5 points), if ALL the circled answers are true, but if any true answers are not circled (for example, if A, B, C, and D are all true, and you circle any subset, you will receive 3.5 points). NO credit will be given if ANY incorrect answers are circled (for example, if A, B, and C are correct, but D is not, an answer where D is circled will receive no credit, regardless if A, B, and C, or any subset, are circled). Leaving the question blank will not receive partial credit.*

Multiple Choice Sample Question 1

- (1) Which of the following statements correctly describe the typical operation process of a VC fund?
- (A) General partners usually only call capital from limited partners when they spot an investment opportunity so they will call capital on a deal-by-deal basis.
- (B) During the life span of the fund, the general partners are often not allowed to redeploy the proceeds from liquidity events to other investment opportunities.
- (C) Investment decisions are made together by limited partners and general partners on a deal-by-deal basis.
- (D) When a VC fund dissolves, general partners often use another fund they manage to buy the equities held by the dissolved fund and return cash to limited partners.

Multiple Choice Sample Question 2

- (2) Time-based vesting of stock option grants is frequently adopted in startup companies nowadays because:
- (A) it creates less friction within the organization compared to performance-based vesting.
- (B) it is a more powerful motivator than performance-based vesting.
- (C) it avoids the hassle of adjusting performance milestones from time to time in a high velocity environment.
- (D) it avoids losing the value of the stock options in retaining employees when milestones for liquidity are achieved unexpectedly.
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Multiple Choice Sample Question 3

- Which of the following statements correctly describe the typical distribution process of a VC fund?
 - (A) General partners will not collect management fee before they make investment.
 - (B) General partners will only be entitled to receive their carried interest after the principal and the hurdle rate (if any) are paid to the limited partners.
 - (C) Catch-up clause works in favor of limited partners to ensure that they receive their entitled percent of profit.
 - (D) Claw-back clause works in favor of limited partners to ensure that they receive their entitled percent of profit.

Multiple Choice Sample Question 4

- The below is the capitalization table of a start-up. Which of the following statement is correct?

Categories	# of shares
Common stock - Founders	6,000,000 (all are vested)
Common stock - CEO	2,000,000 (subject to a 4 year vesting schedule with a 1-year cliff)
Series A Preferred	3,000,000 (no liquidation preference)
Stock reserve	3,000,000

- (A) If the company complete Series B financing at \$2.00/share, the pre-money valuation of the company is \$22 million.
- (B) If the company complete Series B financing at \$2.00/share, the pre-money valuation of the company is \$28 million.
- (C) If the CEO leaves the company before the end of year 1, he/she will only own nothing.
- (D) If the CEO leaves the company at the beginning of his third year, he/she will own 1 million shares.



Your Questions?

Good Luck